

Item 13, September 22 Consent Calendar – Reveal Data Corporation agreement



From

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To

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Date

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Members of the Council,

This week’s agenda, Item 13 approves \$238,770, plus a \$23,900 contingency, for a three-year Public Records Act review platform. It is on the consent calendar, so it will not be discussed unless a member pulls it.

A public records system is an important part of the City operating transparently and collaboratively with its community, so I read the item closely. Below are ten inconsistencies and concerns I found in the proposed contract, each drawn from its own attachments at packet pages 170 through 199, with the question I would put to staff about each.

1. The storage cost is open-ended and the item gives no baseline. The subscription covers 750 GB for \$75,000 a year, or \$100 per gigabyte. Storage above that bills at "\$33 per GB per month," or \$396 per gigabyte a year, nearly four times the bundled rate. As the records volume grows, the data costs will grow over time. At roughly 190 GB over the cap the overage alone equals the annual subscription, and the \$23,900 contingency is exhausted at about 60 GB. The order form offers "discounted bulk data packages" as an alternative, but the item does not price them. Question: what data volume is projected over the full three-year term, and what do the bulk packages cost? Does data age out of the platform so that the stored volume levels off, or does each year add to the last?
2. The proposal cites body-worn camera footage as a driver, but the Statement of Work describes only handling of documents. It is unclear whether the 750 GB was sized for video or for text. If the proposed budget is sized against documents, it would be consumed very quickly by video. Question: was the 750 GB sized for a document workload, or for one that includes body-worn camera footage and other larger media files?
3. The City would need the vendor's permission to tell residents that the vendor caused a breach. Exhibit C, section 4(c) provides that "neither Party may identify or attribute fault to the other in any notice without the other Party's prior written consent unless required by law." California Civil Code section 1798.29 requires an agency's breach notice to include a general description of the incident, but does not require naming a third-party vendor as the cause. Question: in a breach notice to residents, may the City state that the breach occurred at its vendor?
4. Private equity owns this vendor and assembles its product line by acquisition. Reveal's majority shareholder is K1 Investment Management, which funded Reveal's purchase of Logikcull and IPRO in August 2023 for more than \$1 billion. Reveal's own company timeline lists nine acquisitions, its website lists eight products, and the IPRO brand is no longer among them. Question: did staff evaluate the risk that Logikcull is folded into Reveal's main platform, as IPRO appears to have been?
5. The agreement says nothing about the product changing or going away. Section 8 allows termination only for uncured breach or insolvency, so there is no exit for convenience, and Section 15 lets the vendor assign the agreement without the City's consent on a change of control. Question: if the product is discontinued or materially changed during the three-year term, what is the City's remedy?
6. The agreement grants worldwide rights to City data, while an exhibit requires the data to stay in the United States. Section 5.6 grants a "nonexclusive, worldwide, royalty-free" license, sublicensable to an unnamed hosting subcontractor, including to generate commercial "Benchmarking Statistics." Exhibit C, section 7(b) requires "No access or transfer of data to/from outside of the United States." The order of precedence clause ranks the Agreement first and does not rank Exhibit C at all. Question: does Section 5.6 take precedence, and may City data be processed outside the United States?
7. The agreement and that same exhibit also disagree about destroying City data at the end. Exhibit C, section 8 requires the vendor, on termination or on request, to "promptly return all City data or securely destroy it and shall certify destruction in writing." Section 26.2 instead gives the City a thirty-day export window and says the vendor "may delete Customer Data in accordance with its standard retention practices." Again the Agreement is ranked and the exhibit is not. Question: is the vendor required to destroy City data and certify it, or may it keep the data under its own retention policy?
8. The contract is missing the privacy protections its own security exhibit requires. Exhibit C, section 6 requires the vendor to comply with California privacy law "by contractually agreeing to restrict data usage to specified business purposes, forbidding the sale/sharing of personal information, and enabling consumer rights, such as deletion or opting out." No such clause appears in the agreement. The only restriction to "business purposes" is Section 5.3, which limits the City's use of the service rather than the vendor's use of City data. Question: where does the vendor contractually agree to the restrictions Exhibit C requires?
9. The agreement and the order form are with two different companies. The agreement defines "VENDOR" as Reveal Data Corporation, a Delaware corporation, and Section 7 obligates the City to pay VENDOR \$75,000 annually. The order form, which carries the commercial terms including the storage rate, is "entered into by and between Logik Systems, Inc. and Customer." Logik Systems is the corporate entity behind the Logikcull brand, but the item does not state whether Reveal owns it or whether both are held in common, and no provision makes either answerable for the other. The Statement of Work says the service is provided by "Logikcull Discovery Solution, an affiliate of Reveal Data Corporation." No document in the item names the entity that will invoice the City or receive payment. Question: which entity is legally bound, which receives the payments, and which provides the service?
10. When the documents disagree, the contract does not say which one wins. Section 28 states that all four exhibits are "incorporated by reference herein as part of this Agreement," then ranks the Statement of Work and the Insurance Requirements, which are Exhibits A and D, below the Agreement they are said to be part of. It does not rank Exhibit B, the fee schedule, or Exhibit C, the data security requirements, at all, and it does not mention the order form. The one other document it ranks, the City's RFQ, is not attached to the item. Question: which document controls the storage rate and the data security requirements?

The order form must be signed on or before September 30, 2026 to be valid, and the next regular meeting falls after that date. Pulling Item 13 for discussion would not cost the City that deadline.

Respectfully,
Brian
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